EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores

Large Cap (>$200B) · Report Date: October 12, 2026

Latest financials: Q1 FY2026 · Model data as of 2026-10-12

UNDERWEIGHT

Composite · Valuation: SELL

Target $89.73 · -20.6% upside

Price $113.08

INVESTMENT HIGHLIGHTS

- **SELL** — blended target $89.73 (-20.6% vs $113.08); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (5.9% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT $89.73	45%
FSA	Stable	Health +0.00 · Stable	20%
Technical	BEARISH	Bearish	20%
Quantitative	POSITIVE	Score +0.45 · 12m +12%	15%
Composite	UNDERWEIGHT	Score -0.37 · 50% confluence	—

Fundamental and technical both bearish.

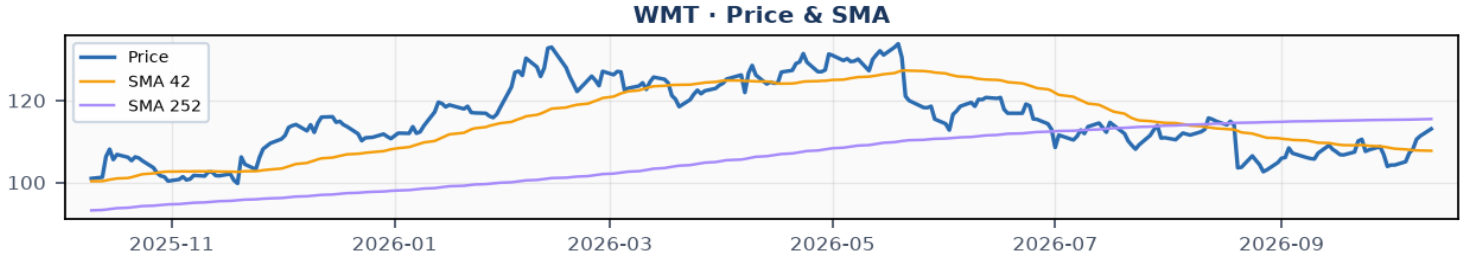
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target $89.73. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$899.90B	Shares Out.	7958.1M
52-Week Range	$98.88 – $135.16	P/E (TTM)	41.0x
P/B	9.1x	Beta	0.58
Avg Volume	23.67M	Analyst Rec.	Buy
Revenue (TTM)	$735.84B	Rev Growth	+5.9%
Op. Margin	3.5%	FCF (TTM)	$14.92B
Gross Margin	24.8%	ROE	22.3%
EV/EBITDA	21.6x	Debt/Equity	71.7%
EPS (TTM)	$2.76	Div Yield	89.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue ($M)	680,985	713,163	755,240	792,095	825,094
Revenue Growth (%)	N/A	4.7%	5.9%	4.9%	4.2%
Net Income ($M)	19,436	21,893	23,185	24,316	25,329
Gross Margin (%)	24.9%	24.9%	24.8%	24.8%	24.8%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
EPS ($)	2.44	2.75	2.91	3.06	3.18
P/E (x)	46.30	41.10	38.81	37.01	35.53

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$107.74	Short-term trend	12m Momentum	+12.0%	
SMA (252d)	$115.49	Long-term trend	3m Momentum	+0.7%	
RSI (14d)	58.0	Momentum oscillator	Ann. Volatility	22.6%	
Trend	Bearish		Sharpe Ratio	0.77	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-25.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+69.8%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=$107.74, SMA252=$115.49	Quant Score	+0.45	POSITIVE
			SMA Backtest (ann.)	24.3%	B&H; 28.5%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$81.93	-27.5%	32%	Included in blend
Comps — Blended	$83.95	-25.8%	53%	Included in blend
Analyst consensus	$126.78	+12.1%	15%	Included in blend
Blended target	$89.73	-20.6%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	4.00%	12.00%	$652.02B	$81.93	-27.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	$425.16B	46.2x	28.8x	3.0%	+11.1%
TGT	Target Corporation	$69.79B	16.0x	9.7x	4.1%	+5.3%
DG	Dollar General Corpora	$27.92B	16.4x	11.8x	3.9%	+5.2%
DLTR	Dollar Tree, Inc.	$22.07B	14.3x	11.5x	8.0%	+7.0%
WMT*	Walmart Inc.	$899.90B	41.0x	21.6x	3.0%	+5.9%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (5.9% YoY); Defensive profile (β=0.58); Sector: Consumer Defensive | Industry: Discount Stores · Risks: Premium valuation (P/E: 41.0x) Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.